(iv) to assist member countries by temporarily providing financial resources to correct maladjustment in their balance of payments (BoPs).

The Board of Governors of the IMF consists of one Governor and one Alternate Governor from each member country. For India, Finance Minister is the Ex-officio Governor while the RBI Governor is the Alternate Governor on the Board.

The day-to-day management of the IMF is carried out by the Managing Director who is Chairman *(currently, Ms Christine Lagarde)* of the Board of Executive Directors. Board of Executive Directors consists of 24 directors appointed/elected by member countries/group of countries – is the executive body of the IMF. India is represented at the IMF by an Executive Director (*currently Arvind Virmani*), who also represents three other countries in India's constituency – Bangladesh, Sri Lanks and Bhutan.

India's Quota & Ranking

IMF reviews members' quotas once in five years – last done in December 2010 – here, India consented for its quota increase. After this India's quota (together with its 3 constituency countries) has increased to **2.75** per cent (from 2.44 per cent) and it has become the **8th** (from 11th) largest quota holding country among the **24** constituencies. In absolute terms, India's quota has increased to SDR 13,114.4 million (from SDR 5,821.5 million) which is an increase of app. US $ 11.5 billion or Rs. 56,000 crore).While 25 per cent of the quota is to be paid in ***cash*** (i.e. in 'Reserve' currency), the balance 75 per cent can be paid in ***securities***[5].

Once a member nation has signed the ***EFF*** (Extended Fund Facility) agreement with the IMF, borrowing[6] can be done by the member nation – India signed this agreement in the fiscal 1981-82. ***India has been borrowing*** from the IMF due to critical balance of payment (BoP) situations – once between 1981-84 (SDR 3.9 billion) and next during 1991 (SDR 3.56 billion). All the loans taken from the IMF have been repaid. India is now a *contributor* to the IMF as it participates in the Financial Transactions Plan (FTP)[7] of the IMF since September 2002 – at this time India was in strong balance of payment situation and in a comfortable forex reserves position.